

Equity

What is equity?

Equity, in reference to property, is the difference between a home's appraised value and the debt owed on it.

In other words, the equity is the amount of the home you actually own. While this sounds like it'd be easy to calculate, remember that a home's appraised value isn't necessarily the price that was paid for it. A home's appraised value can increase or decrease depending on a variety of factors and conditions, including things like the property's overall condition, whether or not it has a garage, any updates or upgrades to it, and more.

The equity equation formula is:

Home's appraised value - loan debt = equity

Meet Larry

Consider Larry, who purchased a home for \$325,000 in 2007.

He paid a \$25,000 down payment and took out a \$300,000 mortgage. Let's say he's paid the original \$300,000 mortgage down to \$220,000. Is his current equity in the house \$105,000? Not necessarily. Remember that when figuring out equity, we're not using the home's original sales price, or the original mortgage amount. We're using the home's current appraised value. So, if the house appraises at \$325,000, that's great for Larry-he's built up \$105,000 in equity.

But let's say that although Larry has made all of his regular payments on his home since he purchased it, as well as a couple of extra payments here and there when he had extra money, the value of homes in his neighborhood has dropped. The drop was significant after the neighborhood school relocated three miles away and the local park became an eyesore. Several comparable homes in his area have recently sold for \$250,000, or even less. When the appraiser looks for comparable properties (comps) to which he can compare Larry's home, none of them come close to the \$325,000 Larry originally paid.

Larry's home ends up appraising for \$250,000. Remember, to figure out his equity, we take the appraised amount of the home and subtract the amount still owed on the mortgage to arrive at the amount of equity. That looks like this:

\$250,000 (appraised value)
- 220,000 (owed on mortgage)

\$30,000 (equity)

Despite Larry paying \$80,000 toward the principal and interest since he bought the house, as well as that \$25,000 down payment, his equity in the house is only \$30,000. Larry's not a happy camper.

Meet Daryl

Unfortunately, some people end up in even worse situations than Larry's. Take his cousin, Daryl. A few years ago, Daryl bought an apartment in an up-and-coming part of downtown. He put down the minimum amount of money on the apartment, and, because he didn't have great credit, he didn't get a great interest rate on his \$250,000 mortgage. Daryl thought Larry was "acting like our penny-pinchin' Grandpa" by making extra payments on his mortgage whenever he had some extra money.

Today, Daryl owes \$240,000 on his mortgage.

Unfortunately for Daryl, his "up-and-coming" neighborhood hit the skids when the developers pulled out of the project before finishing the development. The empty apartments have become homes to squatters and rodents, and the only people who visit the development with any frequency are graffiti artists and drug dealers. Daryl's property is appraised at \$120,000.

Can you guess how much equity Daryl has on his home? Let's look at Daryl's equity equation:

\$120,000 (appraised value)
- 240,000 (owed on mortgage)

- \$120,000 (yes, that's negative \$120,000)

Daryl is in a situation that's known as being "upside down" on his mortgage. This means that, despite the fact that he's paid on his mortgage for several years, he has no equity in it, and in fact, he owes more on it than it's worth.

Don't ask Daryl about his Grandpa Joe. It will only make him cry.

Meet Grandpa Joe

Grandpa Joe is on the opposite side of the equity spectrum. Joe and his wife, Shirley, bought their three-bedroom house in 1960 for \$19,000. By the time they sold it in 2000, it was worth \$200,000. Sure, Joe and Shirley had given it some major updates-a new kitchen, gorgeous landscaping, and even two additional bedrooms-but they also saw exponential leaps in value over time as the neighborhood was built up around them, new schools went in, and two national corporations moved their headquarters to town, creating hundreds of jobs. The house doubled in value by the time Joe and Shirley paid off their mortgage. Let's say, for the sake of our equity discussion, that Joe and Shirley wanted to find out how much equity they had in the house when their mortgage was paid down to the last \$5,000. At the time, we'll say it appraised for \$80,000.

Their equity equation would have looked like this:

\$80,000 (appraisal amount)

- 5,000 (owed on mortgage)

\$75,000 (in equity)